

have close to over 40,000 branches amongst our partners and this provides significant distribution opportunities.

C is for corporate business. Star Health primarily caters to micro, small and medium enterprises. Our distribution reach allows us to tap into Tier II and Tier III cities, providing insurance solutions tailored to small and medium enterprises in 'Bharat'.

D is for digital direct-to-consumer (D2C) business. We are a leader in digital health insurance sales, holding an estimated 50% market share in D2C online insurance. This channel currently contributes 8% of revenues and is showing robust growth.

Our home healthcare initiative in 100+ cities has effectively enhanced customer wellbeing. Significant investment in technology and automation allows us to have the best metrics in terms of low operating costs and high customer experience.



Star Health has 33% market share in retail health insurance. How do you plan to retain this share?

Star Health Insurance has been the market leader in retail health for the last 18 years and we are focussed on strengthening our market share further.

Our strategy focuses on three key areas: product innovation, affordability and accessibility. We offer over 35 health insurance plans catering to all segments of society. Our product portfolio caters to a wide spectrum, including young individuals, senior citizens, people with pre-existing condi-

₹215 crore in Q3FY25.

What is the reason for the dip and what is your outlook?

After Covid, the Indian healthcare industry has witnessed high medical inflation, probably the highest globally. Rising cost of hospitalisation and cost of medicines, etc., are adversely affecting

crore while maintaining a 33% market share in the retail segment. We also delivered all-time high net profits of ₹845 crore in FY24, which was an increase of 37% in profit after tax (PAT) over the previous year.

The growth momentum has continued in FY25, with our company

“WE AIM TO DOUBLE OUR GROSS WRITTEN PREMIUM TO ₹30,000 CRORE IN REVENUE BY FY28 AND TO SUSTAIN A CAGR OF 18%”

| 73

tions like cancer and diabetes, autism, and more.

In addition, our extensive distribution network and robust claims services set us apart. We have partnerships with over 14,000 hospitals and maintain a strong presence in Tier II and Tier III cities, which contribute nearly 40% of our business. Our Star Health customer app has approximately 9 million downloads. This enables our customers to stay connected and avail of all services at their convenience.



Star Health reported a 25.7% year-on-year decline in net profit to

the entire population and are a concern. Of course, high inflation means elevated claims ratios for insurance companies, resulting in lower profits. Though our claims ratio in Q3 was elevated, our performance remains better than industry peers. However, we have had to align our product pricing strategy to match this market reality.

Star Health Insurance has been on a steady growth path in the last five years, where we have grown our GWPs at a CAGR of 23%. We reported a robust performance for FY24, achieving 18% growth and reaching a revenue of ₹15,250

registering 16% GWP growth in 9MFY25. We remain highly optimistic on the long-term opportunity of the health insurance business. Our focus will remain on the retail health insurance segment.

For the long term, Star Health aims to sustain an 18% CAGR rate over the next four years, targeting ₹30,000 crore in revenue by FY28 while tripling profits to ₹2,500 crore as per the International Financial Reporting Standards.



Has there been a recent premium hike, and do you foresee any further increases?